



## **PAPER – 4: COST AND MANAGEMENT ACCOUNTING**

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### **QUESTIONS**

#### **PART I - Case Scenario based MCQs**

##### **Marginal Costing**

1. Popular company produces various articles for student purposes. It has been in industry since last 25 years. Company had a very humble start but gained popularity over the years due to excellent quality products which were sold at very competitive prices. Company has huge reserves and feel that it is also obligated to give back to the society from which it has grown.

Last year management decided to produce and supply special quality school bags, water bottles, & geometry boxes to NGOs, at no price, as a social responsibility. These articles were simple looking but were more durable, that would not have wore-off easily and could have been used for long-term.

This year management wants to add another dimension to this social work. It approached charitable schools and government run schools and offered them the supply of the same articles, at cost. This will help students in these schools to get these things at a very low price compared to market.

The variable costs are ₹ 100, ₹ 80, and ₹ 40 for school bags, water bottles, and geometry boxes, respectively. These articles are made using a single machine. 0.20 hours of machine operation is required for manufacturing 1 unit of school bag. Similarly, machine hours required for each units of water bottle and geometry box is 0.15 hours and 0.10

hours, respectively. Fixed overhead related to machine is ₹ 7,40,000 per year. Machine can operate for 8,000 hours in a year.

Company has decided to sell its 80% capacity production in markets. Rest is divided amongst the 2 undergoing social works, equally.

All Schools requests these items in the ratio of 2:3:5, as per their demand by the school students.

Company wants to set a price for these articles to be offered to the schools. Management has few questions they need the answers to. They assigned the task to their team. Team made rough calculations but as there were too many people on the team, each came up with different answers. As a Chartered accountant, you have been approached. Understand the case closely, find the correct answers and help management to set a price.

Answer the following:

- (i) What is allocated fixed cost per unit of School bags, water bottles, and geometry boxes?
  - (a) 18.5, 13.875, 9.75
  - (b) 18.5, 13.875, 9.25
  - (c) 18.5, 13.785, 9.25
  - (d) 18.5, 13.785, 9.50
- (ii) If the prices were ₹ 200, ₹ 160, and ₹ 100, what would be the overall break-even point in units in relation to fixed cost allocated to these supplies?
  - (a) 308.33 units
  - (b) 500 units
  - (c) 508.33 units
  - (d) 1,000 units
- (iii) Find out the maximum number of units of each article that can be given at the prices given in Part (ii).
  - (a) 61, 92, 154

- (b) 200, 300, 500
- (c) 101, 152, 254
- (d) 100, 150, 250
- (iv) What will be the maximum units that can be supplied to the schools of each article?
  - (a) 1103, 1645, 2726
  - (b) 1093, 1655, 2748
  - (c) 1185, 1777, 2962
  - (d) 1133, 1675, 2958
- (v) What should be the correct price for each item as per the management's decision?
  - (a) 118.50, 93.875, 49.75
  - (b) 118.50, 93.785, 49.25
  - (c) 118.50, 93.785, 49.50
  - (d) 118.50, 93.875, 49.25

### Process Costing

2. Knowing the hectic schedule of a student preparing for the examination, a homemaker managing work from home or a new parent busy in neonatal care, a freshly qualified professional (Mr. Rishi) entered into a start-up business of manufacturing frozen foods.

The process majorly involve washing and cutting the vegetables (Process I), blanching, cooling and mixing of ingredients with spices (Process II), forming, frying and freezing the final product (Process III).

In Accounts, Mr. Rishi normally transfers the output of one process to another process at cost but, being a young entrepreneur, he is interested in knowing the profit made at each and every process. Thus, it was decided to transfer the output of Process I and II to the next process at cost plus 25%. Further, the output of Process III is also transferred to finished stock at cost plus 33 1/3%.

Following information is extracted from the books of Mr. Rishi for the current year:

|                                                | <b>Process I<br/>(₹)</b> | <b>Process II<br/>(₹)</b> | <b>Process III<br/>(₹)</b> | <b>Finished<br/>Stock<br/>(₹)</b> |
|------------------------------------------------|--------------------------|---------------------------|----------------------------|-----------------------------------|
| Opening stock                                  | 8,02,500                 | 14,44,500                 | 21,40,000                  | 24,07,500                         |
| Direct materials                               | 42,80,000                | 34,77,500                 | 26,75,000                  | --                                |
| Direct wages                                   | 66,87,500                | 57,78,000                 | 49,22,000                  | --                                |
| Factory overheads                              | 51,36,000                | 38,52,000                 | 35,57,750                  | --                                |
| Closing stock                                  | 10,70,000                | 17,12,000                 | 20,86,500                  | 26,75,000                         |
| Inter-process profit included in opening stock | NIL                      | 2,14,000                  | 5,35,000                   | 10,70,000                         |

Stock in processes is valued at prime cost. The finished stock is valued at the price at which it is received from Process III.

Mr. Rishi wants you to FIGURE OUT the following to analyse the profit generated at each process:

- (i) What is the transfer price value at which the output of Process I is transferred to Process II?
  - (a) ₹ 1,97,95,000
  - (b) ₹ 39,59,000
  - (c) ₹ 1,58,36,000
  - (d) ₹ 1,69,06,000
- (ii) What is the transfer price value at which the output of Process II is transferred to Process III?
  - (a) ₹ 1,20,97,476
  - (b) ₹ 4,07,93,750
  - (c) ₹ 2,86,96,274
  - (d) ₹ 3,43,47,000

- (iii) What is the transfer price value at which the output of Process III is transferred to Finished Stock?
- (a) ₹ 5,40,88,500
  - (b) ₹ 3,98,91,140
  - (c) ₹ 2,94,44,860
  - (d) ₹ 6,93,36,000
- (iv) What is the cost value at which the output of Process III is transferred to Finished Stock?
- (a) ₹ 5,40,88,500
  - (b) ₹ 3,98,91,140
  - (c) ₹ 2,94,44,860
  - (d) ₹ 6,93,36,000
- (v) What is the cost value of closing stock of Process III A/c?
- (a) ₹ 20,86,500
  - (b) ₹ 15,64,884
  - (c) ₹ 3,98,91,140
  - (d) ₹ 5,21,616

### Employee Cost and Direct Expenses

3. Phalsa Ltd. pays its workers on time-basis because their services cannot be tangibly measured. The company's normal working week includes 5 days of 8 hours each. Sometimes, the workers need to work late at night which was 3 nights of 3 hours each for the current week. The average output produced per worker for the week is 120 units.

Information regarding incentive rate is as follows:

|                 |                             |
|-----------------|-----------------------------|
| Rate of Payment | Day shift: ₹ 320 per hour   |
|                 | Night shift: ₹ 450 per hour |

However, this time-basis payment made workers lazy, making their expected output lower. As workers started doing more of the night shifts

for higher earnings with minimal impact on the outputs, the company decided to shift on to a system of payments on output basis. Information regarding amended incentive rate is as follows:

|                                 |                               |
|---------------------------------|-------------------------------|
| Time-rate (as usual)            | : ₹ 320 per hour              |
| Basic time allowed for 15 units | : 5 hours                     |
| Piece-work rate                 | : Add 15% to basic piece-rate |

In the amended incentive system, the normal weekly working hours remained the same while production increased to 135 units.

CALCULATE the labour cost per unit as per the existing incentive system, along with the amended incentive system.

- (a) ₹ 140.42 and ₹ 122.67 respectively
- (b) ₹ 124.81 and ₹ 138.00 respectively
- (c) ₹ 124.81 and ₹ 122.67 respectively
- (d) ₹ 140.42 and ₹ 138.00 respectively

#### Overheads- Absorption Costing Method

4. Gaarmentz Ltd. run a sewing factory for medical garments. But, the company suffers from the limiting factor i.e. labor. Each sewing machine needs 100% attention of one person at a particular point of time to operate it. The company has 8 number of alike sewing machines on which 8 operators work separately. The following particulars are furnished for a six months period:

|                                                       |             |
|-------------------------------------------------------|-------------|
| Paid hours for all the 8 operators                    | 9,594 hours |
| Effective working hours for all the 8 operators       | 9,360 hours |
| Average rate of wages per day of 8 hours per operator | ₹ 110       |
| Power consumed                                        | ₹ 60,125    |
| Supervision and Indirect Labour                       | ₹ 21,450    |
| The following particulars are given for a year:       |             |
| Insurance                                             | ₹ 4,68,000  |
| Sundry Expenses                                       | ₹ 7,15,000  |

Depreciation charged is 10% on the original cost of all the sewing machines.

Repairs and Maintenance comes to 5% of the value of all the sewing machines.

The original cost of all the sewing machines works out to ₹ 41,60,000

CALCULATE the Comprehensive Machine Hour Rate.

- (a) ₹ 215.86
- (b) ₹ 217.99
- (c) ₹ 116.43
- (d) ₹ 119.34

### Cost Sheet

5. Following information is available for the month of March relating to manufacturing of a product:

| Particulars                                        | Amount (₹) |
|----------------------------------------------------|------------|
| Cost of Sales                                      | 37,51,540  |
| Stock of Raw material as on 01 <sup>st</sup> March | 6,50,000   |
| Direct Wages                                       | 11,44,000  |
| Hire charges paid for Plant (indirect expenses)    | 3,24,740   |
| Salary to office staff                             | 1,78,750   |
| Maintenance of office building                     | 13,000     |
| Depreciation on Delivery van                       | 39,000     |
| Warehousing charges                                | 61,750     |
| Stock of Raw material as on 31 <sup>st</sup> March | 1,95,000   |
| Realisable value on sale of scrap                  | 32,500     |

Factory overheads are 20% of the Prime cost.

FIND OUT the value of Raw Material purchased with the help of Statement of Cost.

- (a) ₹ 10,40,000

- (b) ₹ 14,95,000  
 (c) ₹ 26,39,000  
 (d) ₹ 34,91,540

### Joint Products and By products

6. ICT Ltd. belongs to pharmaceutical industries. The chemical process that ICT Ltd. operates convert one compound into three category of medicines viz. BetaTab, Folick and TegriCap. Though BetaTab and Folick are already converted to final product at split-off point, Tegricap needs further processing along with addition of new compound with it.

The market for BetaTab and Folick is highly active, thus the production is sold at split-off point, however, Tegricap can be sold only after further processing.

Following information is provided for the current year:

| Products | Quantity sold (tons) | Selling price per ton (₹) |
|----------|----------------------|---------------------------|
| BetaTab  | 372                  | 7,500                     |
| Folick   | 1,054                | 5,625                     |
| TegriCap | 1,472                | 3,750                     |

The selling price is expected to remain the same for coming years.

The total joint manufacturing costs till split-off point is ₹ 62,50,000 and the amount spent for further processing w.r.t. Tegricap is ₹ 31,00,000

The details regarding closing inventories are as follows:

| Products | Completed units (tons) |
|----------|------------------------|
| BetaTab  | 360                    |
| Folick   | 120                    |
| TegriCap | 50                     |

You are required to COMPUTE the joint cost allocated to BetaTab, Folick and TegriCap using Net realizable value (NRV) method.

- (a) BetaTab- ₹ 15,65,481, Folick - ₹ 33,26,647 and TegriCap - ₹ 13,57,872



- (b) BetaTab - ₹ 23,33,985, Folick - ₹ 28,07,478 and TegriCap - ₹ 11,08,537
- (c) BetaTab - ₹ 19,27,533, Folick - ₹ 23,18,570 and TegriCap - ₹ 20,03,897
- (d) BetaTab - ₹ 11,08,537, Folick - ₹ 28,07,478 and TegriCap - ₹ 23,33,985

### Marginal Costing

7. Ms. Gauri has the business of selling pens. She has setup this pen retailing for over 10 years with good profit volume ratio. Her average cost from the retailing is ₹ 11.25 per unit if she sells 16,000 units and is ₹ 11 per unit if she sells 20,000 units.

For the current month, she also charged ₹ 5,000 towards depreciation and the rental payment due.

The excess of sales revenue over the variable costs is ₹ 3.333 per unit.

You are required to CALCULATE Break-even Point (in units), Cash Break-even Point (in units) and Profit Volume Ratio.

- (a) Break-even Point- 6,000 units, Cash Break-even Point- 6,000 units and Profit Volume Ratio- 33.33%
- (b) Break-even Point- 6,000 units, Cash Break-even Point- 4,500 units and Profit Volume Ratio- 25%
- (c) Break-even Point- 4,500 units, Cash Break-even Point- 4,500 units and Profit Volume Ratio- 33.33%
- (d) Break-even Point- 4,500 units, Cash Break-even Point- 4,500 units and Profit Volume Ratio- 25%

### PART-II Descriptive Questions

#### Material Cost

8. Ani Ltd. uses 6 kg. of Material 'EXE' to produce 1 finished unit of Product 'EME'. The current demand of Product 'EME' is 16,000 units quarterly. 1 kg. of Material 'EXE' costs ₹ 40. The cost relating to quotations, documentation works, employee cost directly attributable to the procurement of material, every-time the order is made, is ₹ 2,000. The

cost of fund invested in inventories, cost of storage, insurance cost, etc. is estimated to be 15% per annum of average inventory.

You are required the following:

- (i) CALCULATE the Economic Order Quantity for Material 'EXE'.
- (ii) COMMENT, should Ani Ltd. accept an offer of 2.5% discount by the supplier of Material 'EXE', if supply of the annual requirement of the Material is made in 4 equal installments?

### Employee Cost and Direct Expenses

9. AeBee Publishers works for various educational institutes for editing, binding, printing of various books and magazines on job work basis. Currently, the company has employed 30 workers and pays them on hour rate basis for each job assigned. To complete one of the process of binding, the average time allowed to an employee is 8 hours for a 10 pages magazine.

In the month of March, two employees 'Cee' and 'Dee' were given 21 and 30 units of magazines respectively for binding work. The following are the details of the work assigned:

| Particulars   | 'Cee'    | 'Dee'     |
|---------------|----------|-----------|
| Work assigned | 21 units | 30 units  |
| Time taken    | 78 hours | 114 hours |

The existing rate of wages is ₹ 60 per hour along with bonus as per Halsey System.

However, a new wage agreement has been signed between the employees and the company where, employees will be paid ₹ 65 per hour with effect from the April month. But, inadvertently, for the month of March, the accountant of the company paid the wages to these employees considering rate of wages as ₹ 65 per hour.

You are required to CALCULATE the following:

- (i) Amount of loss that the company has incurred due to incorrect rate selection in the month of March.

- (ii) Loss incurred by the company due to incorrect rate selection if it had followed Rowan scheme of bonus payment.
- (iii) Amount that could have been saved if Rowan Scheme of bonus payment were followed.

**Overheads- Absorption Costing Method**

10. Han Ltd. sells three products namely 'A', 'B' and 'C'. The following information is available regarding sales, costs and activity for the year ended 31<sup>st</sup> March:

| Particulars              | A         | B         | C         |
|--------------------------|-----------|-----------|-----------|
| Sales (₹)                | 60,00,000 | 90,00,000 | 54,00,000 |
| Cost of Sales (₹)        | 30,00,000 | 78,00,000 | 27,00,000 |
| Area of storage (sq.ft.) | 72,000    | 1,08,000  | 36,000    |
| Number of parcels sent   | 2,40,000  | 3,00,000  | 2,10,000  |
| Number of invoices sent  | 60,000    | 90,000    | 1,44,000  |

Selling and Distribution overheads and the basis of allocation are as follows :

| Fixed Cost                        | Amount (₹) | Basis of allocation to Products |
|-----------------------------------|------------|---------------------------------|
| Rent and Insurance                | 6,00,000   | Square feet                     |
| Depreciation                      | 2,70,000   | Parcel                          |
| Salesman's salaries & expenses    | 11,40,000  | Sales Volume                    |
| Administrative wages and salaries | 9,00,000   | No. of Invoices                 |
| <b>Variable Costs:</b>            |            |                                 |
| Packing wages & materials         |            | ₹ 4.80 per parcel               |
| Commission                        |            | 2.40% of sales                  |
| Stationery                        |            | ₹ 1.80 per invoice              |

Finance Manager of the Company has recommended to discontinue the Product 'C' since it's sales is less compared to other products.

You are required to PREPARE the profitability statement of each product, showing the percentage of profit/ (loss) on sales for each product, and also EXAMINE the recommendation of Finance Manager.

### Cost Sheet

11. IC Ltd. manufactures two types of phone covers, one is 'plastic' phone cover and another is 'silicon' phone cover.

The cost data relating to the manufacturing of both the phone covers for the year ended 31<sup>st</sup> March is provided below:

| Particulars         | Amount (₹)  |
|---------------------|-------------|
| Direct Materials    | 1,00,00,000 |
| Direct Wages        | 56,00,000   |
| Production Overhead | 32,00,000   |
| Total               | 1,88,00,000 |

Other information relating to the production of the phone covers is as follows:

- Direct material cost per unit of 'silicon' phone cover was twice than that of 'plastic' phone cover.
- Direct wages per unit for 'plastic' phone cover were 60% of those for 'silicon' phone cover.
- Production overhead per unit was at same rate for both the type of phone covers.
- Administration overhead being part of cost of production was 50% of Production overhead.
- Selling cost and Selling Price of 'silicon' phone cover were ₹ 8 and ₹ 140 per unit respectively.
- No. of units of 'silicon' phone covers sold- 90,000
- No. of units of Production of -  
     'silicon' phone cover: 1,00,000  
     'plastic' phone cover: 3,00,000

You are required to PREPARE a cost sheet for 'silicon' phone cover showing Cost and Profit (per unit and Total).

### Cost Accounting Systems

12. Following information is extracted as a result of scrutiny of the figures from both the financial accounts and cost accounts of CK Ltd. for the year ending 31<sup>st</sup> March:

| Particulars                                                 | Amount<br>(₹) |
|-------------------------------------------------------------|---------------|
| Net Profit (as per cost accounts)                           | 57,71,840     |
| Under recovery of selling overheads in cost accounts        | 1,16,800      |
| Under valuation of closing stock in cost accounts           | 1,64,000      |
| Rent received credited in financial accounts                | 87,200        |
| Bad debts provided in financial accounts                    | 52,000        |
| Income tax provided in financial accounts                   | 2,54,400      |
| Under recovery of administration overheads in cost accounts | 1,50,400      |

You are required to PREPARE a Statement of Reconciliation showing the profit as per financial records.

### Batch Costing

13. Phonick Ltd. accepted an order to supply 2,000 units per month of Product 'E' for the third quarter of the year. Each monthly batch order records the actual costs of materials and labour. Overheads are charged at a rate per labour hour. The selling price is established at ₹ 15 per unit. Information relating to Material, Labour and Overheads is provided below:

| Month    | Batch Output<br>(Numbers) | Material Cost<br>(₹) | Labour Cost<br>(₹) | Overheads<br>(₹) | Total Labour Hours |
|----------|---------------------------|----------------------|--------------------|------------------|--------------------|
| October  | 2,500                     | 12,500               | 5,000              | 24,000           | 8,000              |
| November | 3,000                     | 18,000               | 6,000              | 18,000           | 9,000              |
| December | 2,000                     | 10,000               | 4,000              | 30,000           | 10,000             |

Labour is paid at the rate of ₹ 2 per hour.

CALCULATE the cost and profit per unit of each batch order along with the overall position of the order for 6,000 units.

### Joint Products and By products

14. JPBP Ltd. manufactures two joint products A and B simultaneously from the same process. The process produces another product C which is recovered incidentally from the material used in the manufacture of A and B.

The expenditures incurred up to the point of separation i.e. split-off point are ₹ 14,82,000. As the joint products are capable of being measured in the same units, joint costs are allocated on the basis of physical unit.

Though the joint products A and B are saleable at split-off point, these can also be further processed and sold at a higher market price, with some sales promotion efforts. However, product C can be sold only after further processing.

The management is of the view that, as the net realisable value of the product C at split off point is too small, the value may be deducted from the joint production cost.

The relevant details of the products are as follows:

| Particulars                                          | Product A | Product B | Product C |
|------------------------------------------------------|-----------|-----------|-----------|
| Output (kg.)                                         | 16,250    | 8,125     | 1,625     |
| Selling price at the split-off point (per kg.) (₹)   | 72        | 80        | -         |
| Further processing cost (per kg.) (₹)                | 16        | 20        | 8         |
| Further marketing cost (per kg.) (₹)                 | 8         | 8         | 4         |
| Selling price after further processing (per kg.) (₹) | 112       | 104       | 24        |

You are required the following:

- (i) DETERMINE the profit/ (loss) of each joint product if these are sold without further processing.
- (ii) WHETHER joint products be processed further? Decide on the basis of incremental profit/ (loss).

### Service Costing

15. Roshan Travels provide bus facility to a College for carrying its students from home to College and dropping them back at home after study hours. The travel company runs a fleet of 6 buses for this purpose and park them in the college premises.

The information regarding bus running is as follows:

- (I) The College operates in two shifts (one in the morning and one in the afternoon).
- (II) The distance travelled by each bus one way is 20 kms.
- (III) The students need to attend the college for 30 days in a month.
- (IV) The seating capacity of each bus is 30 persons.
- (V) The seating capacity is normally 80% occupied during the year.

The information regarding expenses incurred for a year is as follows:

| Particulars                                                                    | Amount                         |
|--------------------------------------------------------------------------------|--------------------------------|
| Driver and attendant salary                                                    | ₹ 60,000 per bus per month     |
| Cleaner's salary (One cleaner for 2 buses)                                     | ₹ 30,000 per cleaner per month |
| Diesel (Avg. 8 kms per litre)                                                  | ₹ 160 per litre                |
| Insurance charges (per annum)                                                  | 2% of Purchase Price           |
| License fees and taxes                                                         | ₹ 10,160 per bus per month     |
| Parking charges paid                                                           | ₹ 36,000 per month             |
| Repair & maintenance including engine oil and lubricants (for every 5,760 kms) | ₹ 5,712 per bus                |

|                                                 |             |
|-------------------------------------------------|-------------|
| Purchase Price of each bus                      | ₹ 30,00,000 |
| Residual life of each bus                       | 8 Years     |
| Scrap value per bus at the end of residual life | ₹ 6,00,000  |

Students coming from a distance of beyond 10 kms away from the College are charged double the fare than that from students coming from a distance of up-to 10 kms. away from the College. 50% of students travelling in each trip are coming from a distance beyond 10 kms. from the College. The charges are to be based on average cost.

You are required to:

- (i) PREPARE a statement showing expenses of operating a single bus for a year.
- (ii) CALCULATE the average cost per student per month in respect of:
  - (a) Students coming from a distance up-to 10 kms. from the College.
  - (b) Students coming from a distance beyond 10 kms. from the College.

### Standard Costing

16. Banku manufacturing Ltd. is engaged in producing a item named 'ABC'. It produces 'ABC' in a batch of 100 kgs. Standard material inputs required for 100 kgs. of 'ABC' are as below:

| Material | Quantity (in kgs.) | Rate per kg. (in ₹) |
|----------|--------------------|---------------------|
| A        | 50                 | 110                 |
| B        | 30                 | 320                 |
| C        | 30                 | 460                 |

During the month of April, 2024, actual production was 50,000 kgs. of 'ABC' for which the actual quantities of material used for a batch and the prices paid thereof are as under:



| Material | Quantity (in kgs.) | Rate per kg. (in ₹) |
|----------|--------------------|---------------------|
| A        | 60                 | 115                 |
| B        | 25                 | 330                 |
| C        | 20                 | 405                 |

You are required to CALCULATE the following variances based on the above given information for the month of April, 2024 for Banku manufacturing Ltd.:

- (i) Material Cost Variance;
- (ii) Material Price Variance;
- (iii) Material Usage Variance;
- (iv) Material Mix Variance;
- (v) Material Yield Variance.

### Marginal Costing

17. XYZ Ltd. is a company involved in production and construction specialised equipment and machines on the demand of customers. The company received an order for construction of a specialised machine, it had nearly completed this job relating to construction of a specialised machine, when it discovered that the customer had gone out of business. At this stage, the position of the job was as under:

|                                                  | (₹)       |
|--------------------------------------------------|-----------|
| Original cost estimate                           | 27,50,000 |
| Costs incurred so far                            | 24,80,000 |
| Costs to be incurred                             | 3,70,000  |
| Progress payment received from original customer | 15,50,000 |

After searches, a new customer for the machine has been found. He is interested to take the machine, if certain modifications are carried out. The new customer wanted the machine in its original condition, but without its AI device and with certain other modifications. The costs of these additions and modifications are estimated as under:

|                            |                                   |
|----------------------------|-----------------------------------|
| Direct Materials (at cost) | ₹ 1,05,000                        |
| Direct Wages Dept.: X      | 35 men days                       |
| Dept.: Y                   | 55 men days                       |
| Variable Overheads         | 30% of Direct Wages in each Dept. |
| Delivery Costs             | ₹ 15,500                          |

Fixed overheads will be absorbed at 50% of direct wages in each department.

The following additional information is available:

- (1) The direct materials required for the modification are in stock and if not used for modification of this order, they will be used in another job in place of materials that will now cost ₹ 1,50,000.
- (2) Department X is working normally and hence any engagement of labour will have to be paid at the direct wage rate of ₹ 1,000 per man day.
- (3) Department Y is extremely busy. Its direct wages rate is ₹ 1,200 per man day and it is currently yielding a contribution of ₹ 3 per rupee of direct wages.
- (4) Additional supervisory required for the modification cost ₹ 80,000.
- (5) The cost of the AI device that the new customer does not require is ₹ 1,35,000. If it is taken out, it can be used in another job in place of a different mechanism. The latter mechanism has otherwise to be bought for ₹ 1,05,000. The dismantling and removal of the control mechanism will take 5 man day in department X.
- (6) If the conversion is not carried out, some of the materials in the original machine can be used in another contract in place of materials that would have cost ₹ 2,00,000. It would have taken 5 men days of work in department X to make them suitable for this purpose. The remaining materials will realize ₹ 1,50,000 as scrap. The drawings, which are included as part for the job can be sold for ₹ 45,000.

You are required to CALCULATE the minimum price, which the company can afford to quote for the new customer as stated above.

### Budgets and budgetary control

18. BT Ltd. achieves sale of ₹ 73,12,500 with COGS of 40% while operating at 75% of its normal capacity during the current financial year.

The information relating to Administration, Selling and Distribution costs is given below:

#### Administration costs:

|                  |                    |
|------------------|--------------------|
| Office salaries  | ₹ 11,70,000        |
| General expenses | 5 per cent of COGS |
| Depreciation     | ₹ 97,500           |
| Rates and taxes  | ₹ 1,13,750         |

#### Selling costs:

|                       |                      |
|-----------------------|----------------------|
| Salaries              | 8 per cent of sales  |
| Travelling expenses   | 5 per cent of COGS   |
| Sales office expenses | 2.5 per cent of COGS |
| General expenses      | 2.5 per cent of COGS |

#### Distribution costs:

|                |                     |
|----------------|---------------------|
| Wages          | ₹ 1,95,000          |
| Rent           | 1 per cent of sales |
| Other expenses | 10 per cent of COGS |

Considering some of the expenses like office salaries, depreciation, rates and taxes, and wages, to remain the same irrespective of the level of activity, as these expenses are fixed in nature, PREPARE flexible administration, selling and distribution costs budget, operating at 85%, 100% and 115% of normal capacity.

**Miscellaneous**

19. (a) DISCUSS advantages of Marginal Costing.
- (b) LIST DOWN certain financial expenses and income included in Financial Accounts only.
- (c) DISCUSS the treatment of By-product cost in joint cost accounting when they are of small total value.
- (d) DISCUSS normal and abnormal Process Loss and ENUMERATE their treatment in Cost Accounts.